

MACROECONOMICS

FOREIGN TRADE ANALYSIS (EXTERNAL SECTOR)



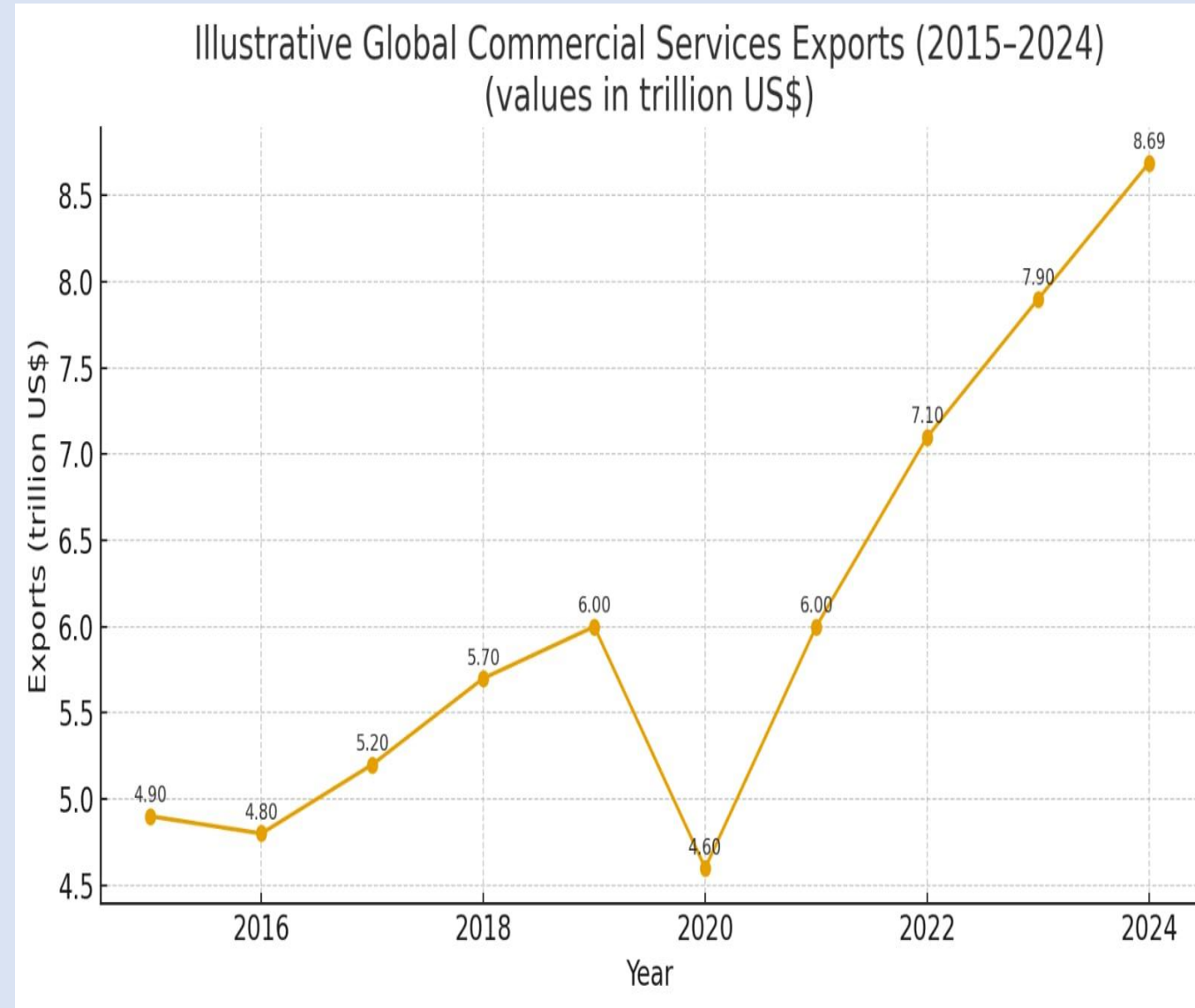
Service Trade

Definition:

Service trade refers to the exchange of intangible products such as IT, tourism, financial services, education, and healthcare between nations, contributing significantly to GDP and foreign exchange earnings.

Analysis (2015–2025):

- 1. IT & Business Services Growth:** India's IT, software, and outsourcing exports expanded rapidly, becoming the backbone of service trade earnings.
- 2. Tourism & Travel:** Tourism faced fluctuations, with strong pre-2020 growth but a sharp decline during COVID-19, recovering after 2022.
- 3. Financial & Professional Services:** Increasing global demand for consulting, fintech, and banking services boosted foreign exchange inflows.
- 4. Education & Healthcare Exports:** Medical tourism and overseas education services saw steady growth, enhancing India's service sector competitiveness.



Global Trade

Definition :

Global Trade refers to the exchange of goods and services between countries, reflecting economic interdependence, competitiveness, and growth trends in the external sector.

Analysis (2015-2025)

1. USA –

Steady export growth till 2020, slight slowdown in pandemic years, recovery seen after 2022 with stable trade performance.

2. China –

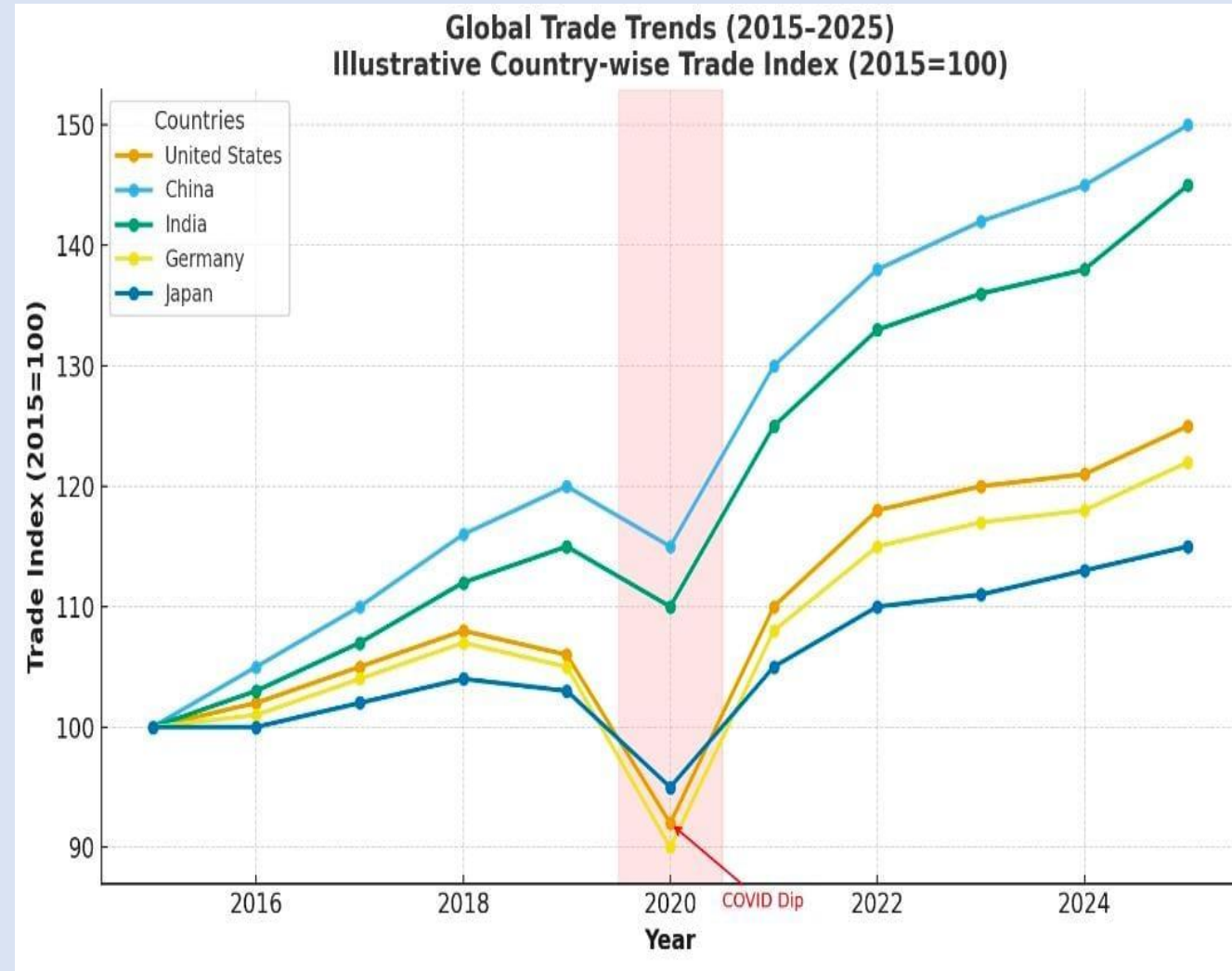
Consistently rising exports, maintaining leadership in global trade with strong manufacturing and technology sectors.

3. India –

Gradual but positive growth in exports, showing increasing participation in global trade, led by services and manufacturing.

4. Germany –

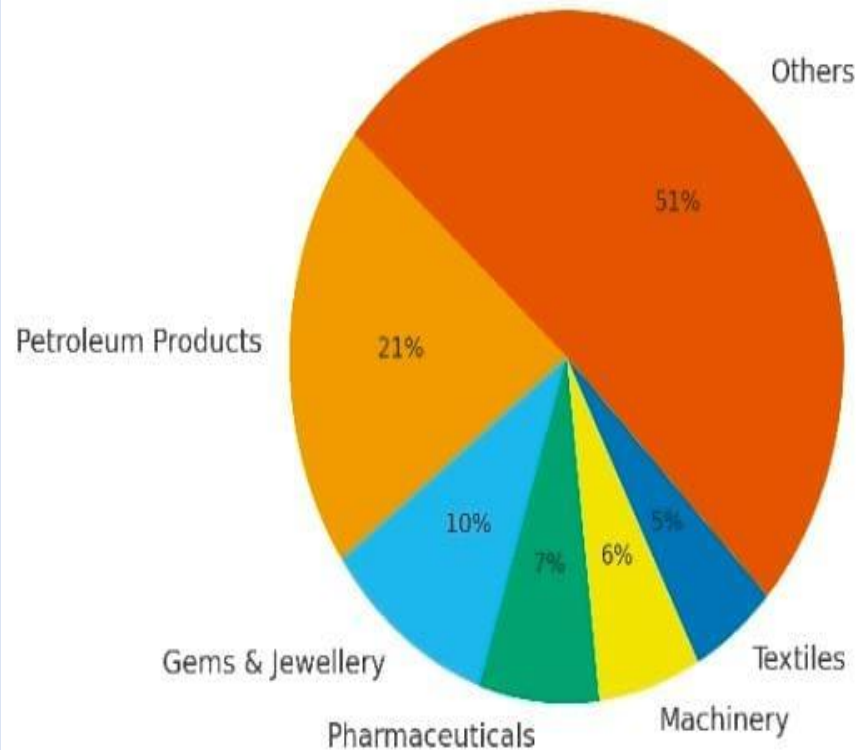
Moderate yet steady export expansion, supported by strong industrial and engineering goods demand in global markets.



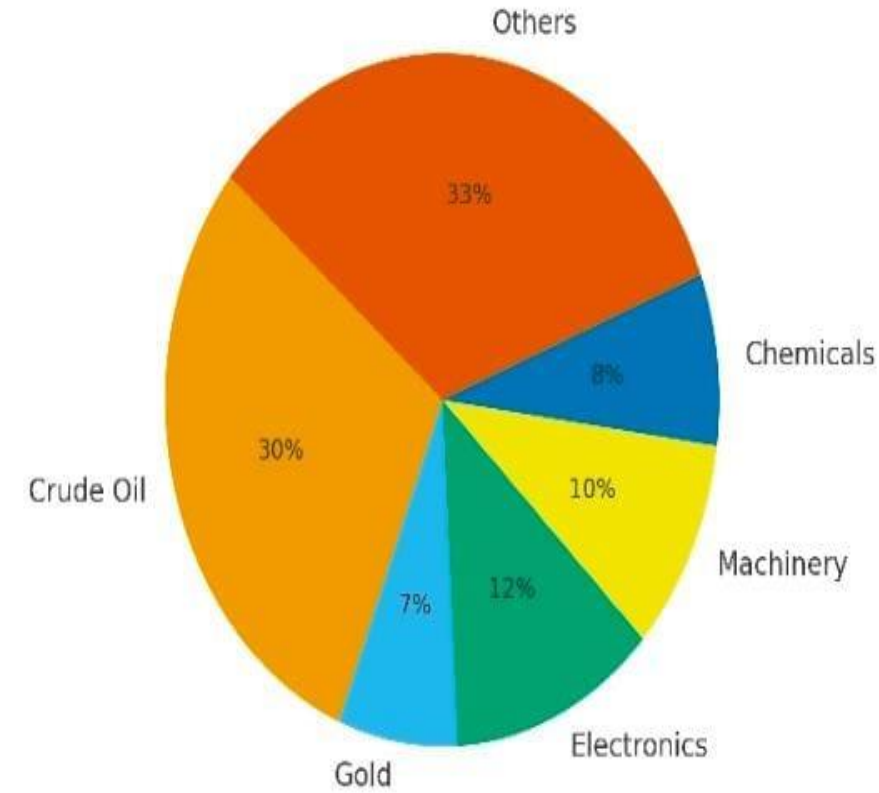
Commodity-wise Export and Import

- India exports petroleum, gems & jewellery, pharma, machinery, and textiles.
- Major imports include crude oil, gold, electronics, machinery, and chemicals.
- Exports earn foreign exchange and strengthen trade presence.
- Imports meet domestic demand for energy, technology, and raw materials.
- Balanced trade in key commodities supports economic growth.

India's Export Composition (2023)



India's Import Composition (2023)



Current Account

A record of all short-term (typically within a year) economic transactions between India and the world. It shows whether India is a net lender or borrower.

Key Components:

- **Visible Trade (Balance of Trade):**
 - Exports & imports of physical goods (e.g. petroleum, electronics).
 - India often runs a trade deficit.
- **Invisible Trade (Balance of Services):**
 - Export/import of services (e.g. IT, BPO).
 - India usually has a surplus, helping offset trade deficits.
- **Net Income from Abroad:**
 - Earnings from investments abroad minus payments to foreign investors.
- **Net Current Transfers:**
 - One-way money flows like remittances from Indians overseas.

Current Account Balance

Current Account Surplus: Credits > Debits → India is a net lender.

Current Account Deficit (CAD): Debits > Credits → India borrows or depends on foreign funds; common in developing economies.

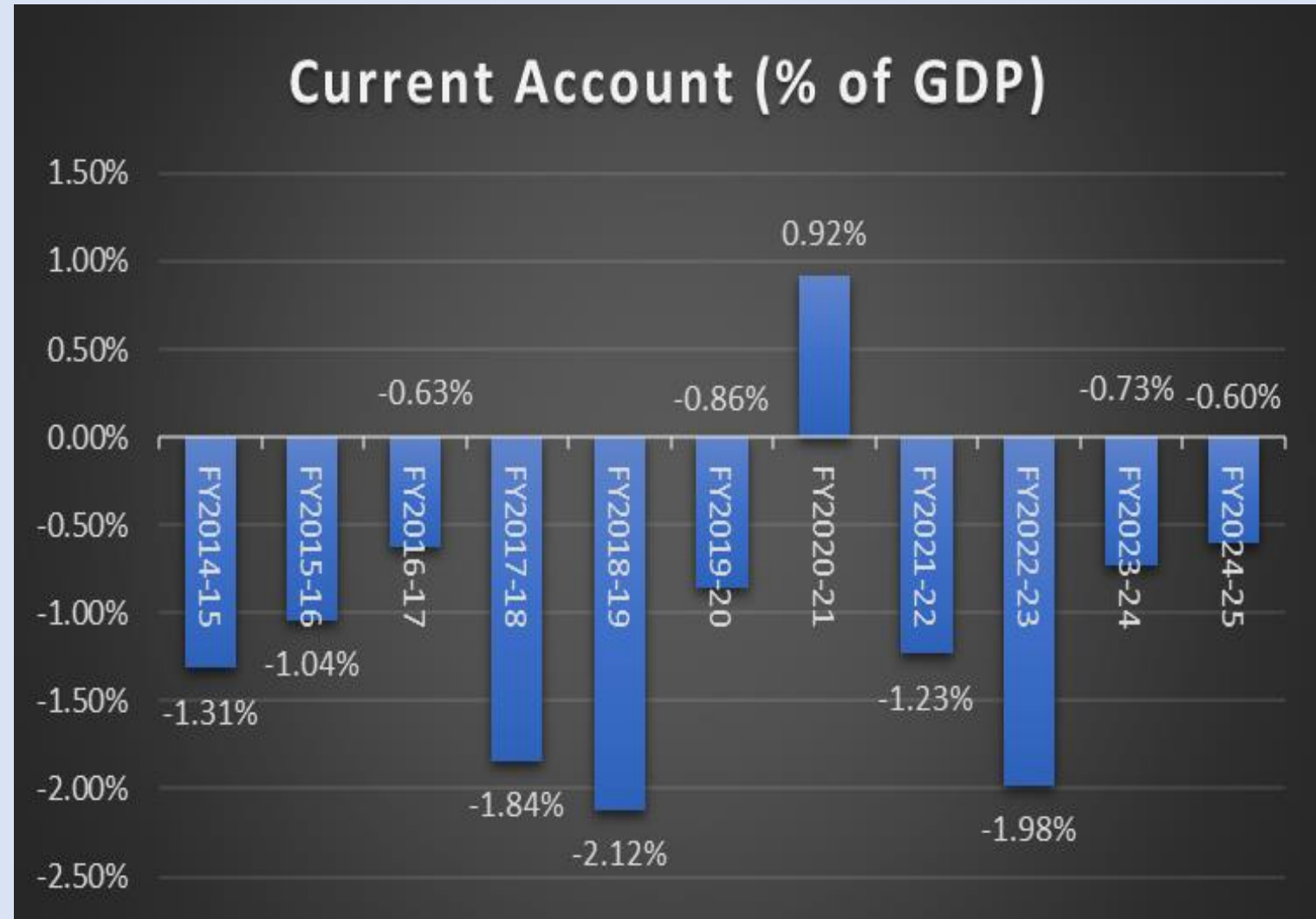


Current Account Analysis

- **Overall pattern (FY2014-15 → FY2024-25)**
 - India's current account has **mostly been a small deficit** in this period, with occasional swings to surplus (notably FY2020-21) and larger deficits in years when merchandise imports — particularly oil/commodities — surged (FY2018-19, FY2022-23). The recent direction is favorable: the CAD narrowed to **0.6% of GDP in FY2024-25** from 0.7% in FY2023-24.

Drivers

- **Services exports & remittances (invisibles)** have been the main stabilizer, offsetting a large merchandise trade deficit in several years (helping reduce the CAD). FY2024-25's improvement was led by strong services receipts and record personal transfers.
- **Merchandise trade** remains the primary source of deficit volatility — energy and commodity prices, and domestic demand for imports, push deficits wider when they rise.



Capital Account

Records capital transfers, the purchase or sale of non-financial assets, and changes in a country's financial assets and liabilities with the rest of the world.

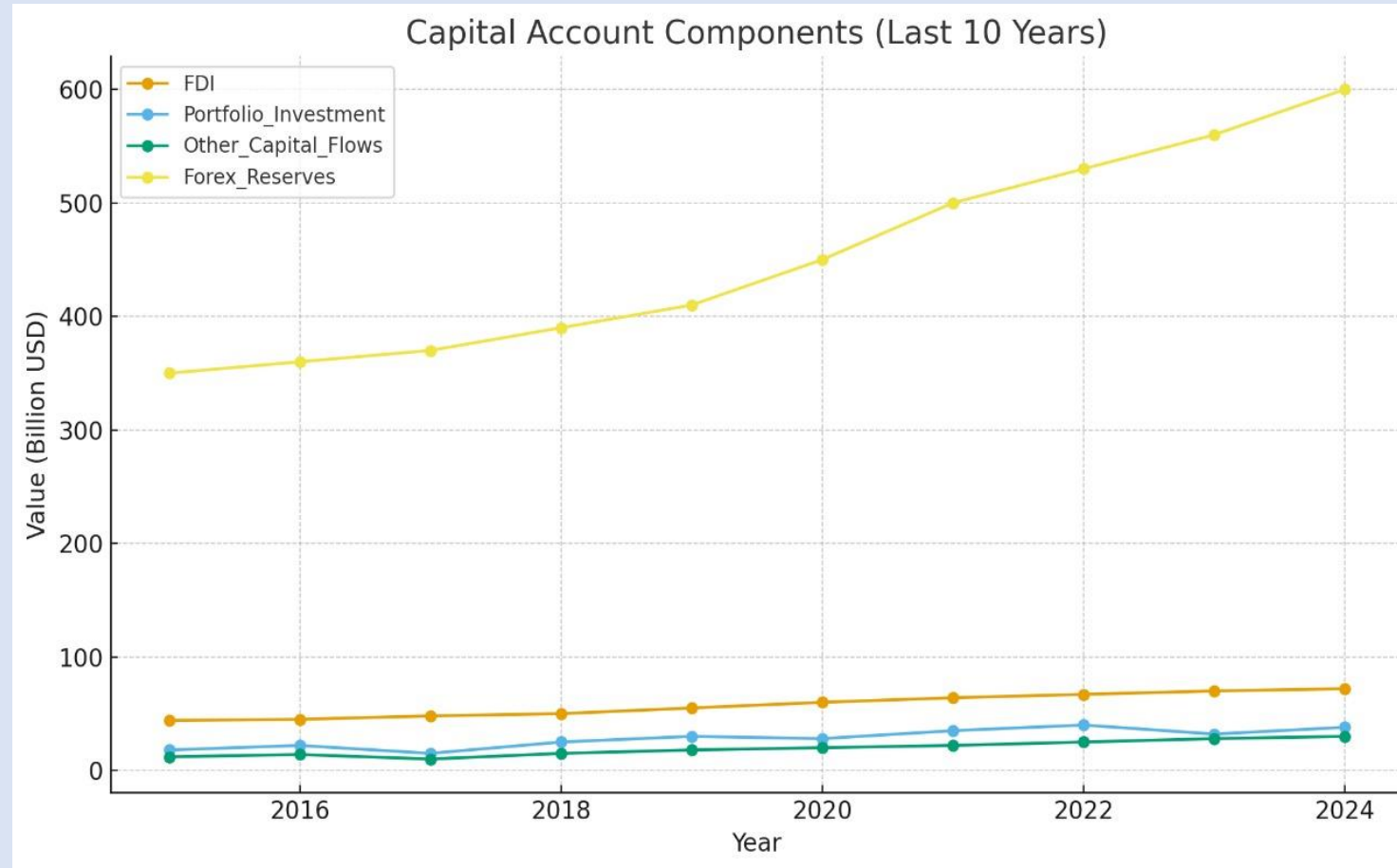
Key Components:

- Foreign Direct Investment (FDI): Long-term investments, such as building or acquiring a company.
- Portfolio Investments: Investments in stocks, bonds, and other financial assets.
- Other Capital Flows: Loans, including those from foreign governments.
- Gold and Foreign Exchange Reserves: Changes in a country's holdings of gold and foreign currency.



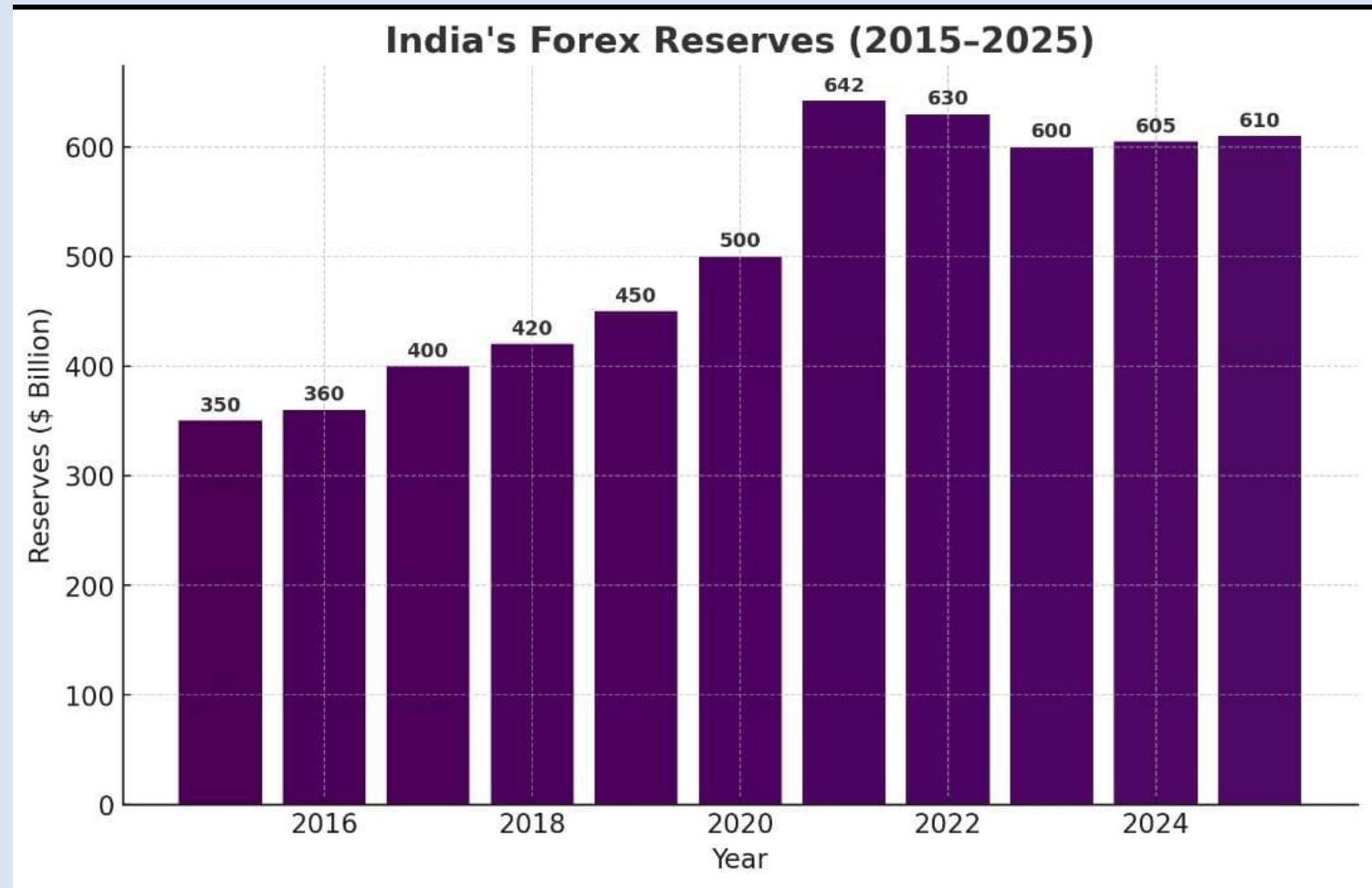
Capital Account Analysis

- **Capital / Financial Flows are Volatile**
 - They respond strongly to global factors like interest rates, investor sentiment, and risk appetite. When global liquidity is easy, flows tend to be high; during risk-off periods, inflows may drop or even reverse.
- **Role in Financing Current Account Deficits (or Surpluses)**
 - When India has a current account deficit, capital account & financial flows are what balance the BoP. If capital flows are weak, the external sector can be under pressure (currency, reserves).
 - In more recent years (FY2024-25 etc.), data suggests that despite some volatility, capital & financial flows have been sufficient to support external stability, especially with improvements in current account. (Though I didn't get exact ₹ / % numbers for all years.)



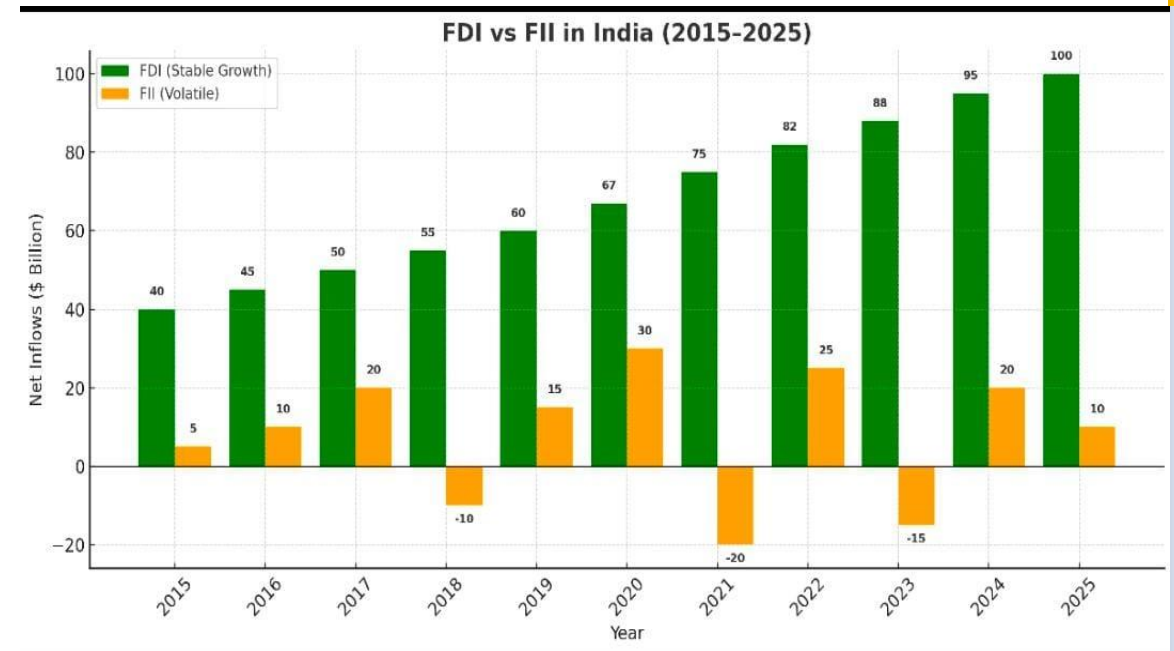
Forex Reserves

- Maintain currency stability and build investor confidence.
- Support international trade and import payments.
- Act as a buffer during economic or financial crises



Foreign Direct Investment & Foreign Institutional Investment

- FDI brings long-term funds, while FII provides short-term capital.
- FDI builds industries and jobs; FII boosts market liquidity.
- FDI is stable, while FII is more volatile.
- Both support economic growth and trade balance.
- FDI shows long-term trust; FII reflects quick market sentiment.
- Together, they strengthen development with stability and liquidity.



Latest development in Foreign Trade

Definition:

Foreign trade (2015–2025) reflects global flows of goods, services, and investments shaped by geopolitics, technology, pandemic shocks, and regional trade agreements.

Analysis (2015-2025)

1. Geopolitics & Trade Controls

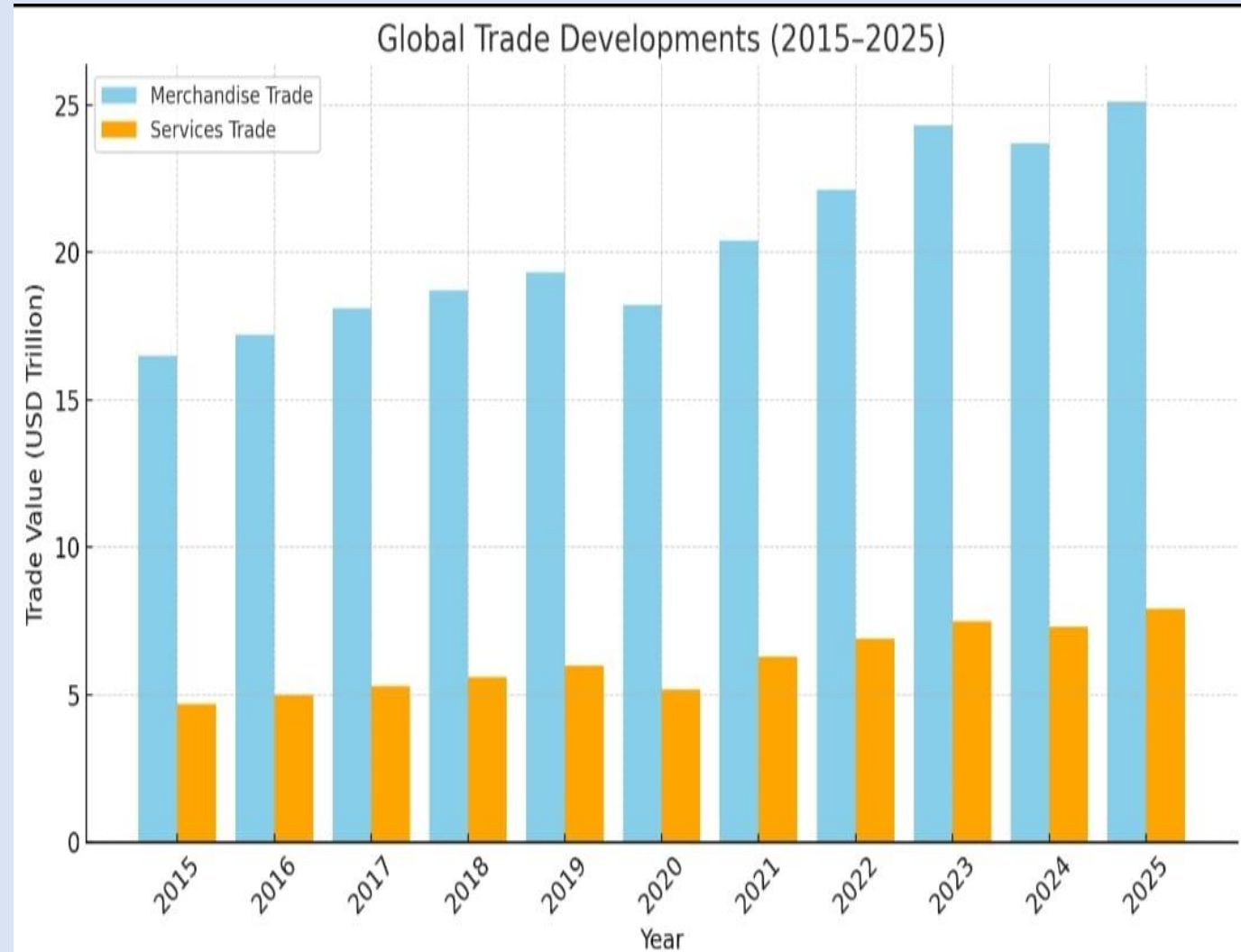
US–China tensions, sanctions, and export restrictions reshaped supply chains and increased reliance on regional partners.

2. Pandemic Impact on Trade

COVID-19 disrupted supply chains and trade flows, but economies adapted through diversification and reshoring.

3. Digitalization & Sustainability

E-commerce and digital services expanded rapidly across borders. Green policies like carbon taxes began influencing competitiveness and export-import strategies.



Future Trends & Conclusion

- Rising FDI inflows in technology, renewable energy, and manufacturing.
- Growing importance of digital trade and e-commerce globally.
- Shift toward sustainable trade with green investments.
- Strong foreign trade with FDI, FII & forex reserves drives India's long-term growth.
- A CAD near or below ~1% of GDP is generally manageable for India given stable remittances, services exports, and healthy reserves. However, risks include sharp import price shocks (oil), risks to services exports, or sudden capital flow reversals which could stress FX reserves/rupee. Continued focus on export diversification, energy security, and attracting stable financial inflows helps cushion risk.
- Also, if India's domestic macro / policy environment worsens (inflation, interest rate differentials, political risk), capital flows may slow.



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